LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What is Book Debt Financing?

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Table of Contents

Module Number	Technical Course Subject / Chapter Theme	Page no.
Module 1	Theoretical Foundations and Product Philosophy	3
Module 2	Structural Taxonomy and Comparative Analysis	4
Module 3	The End-to-End Operational Lifecycle	6
Module 4	Transactional Credit Underwriting & Risk Metrics	7
Module 5	Watertight Legal Security and Charge Creation	8
Module 6	Sectoral Sizing and Market Alignment	9
Module 7	Commercial Pricing Mechanics and Financial Models	10
Module 8	Regulatory Compliance & Technical Defaults	11
Module 9	Comprehensive Real-World Case Study (Mumbai)	13
Module 10	10-Question Certification Examination	15

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Module 1: Theoretical Foundations and Product Philosophy

1.1 The Concept of Book Debt Financing

Book Debt Financing—conventionally referred to as accounts receivable financing or debtor financing—represents a highly structured trade credit product wherein an enterprise leverages its outstanding invoice receivables (book debts) to secure immediate working capital liquidity. In the modern financial paradigm, businesses frequently encounter severe cash flow friction because they must offer extended credit periods (ranging from 30 to 120 days) to their large corporate clients while simultaneously requiring immediate cash to purchase raw materials, fund payroll, and satisfy tax obligations. Book Debt Financing directly bridges this gap by converting these static balance-sheet assets into active operational liquidity within 24 to 48 hours.

1.2 The Evolution of Commercial Underwriting

Historically, credit underwriting in India was heavily dominated by traditional, asset-heavy corporate balance sheet audits. Banks evaluated corporate borrowers based on physical security, such as real estate collateral, machinery, and plant assets. Under this legacy framework, fast-growing micro, small, and medium enterprises (MSMEs) with outstanding debtor portfolios but limited tangible fixed assets were systematically starved of bank finance. Modern trade credit structures have fundamentally shifted this underwriting pivot from static, asset-heavy metrics to transaction-backed, flow-based credit analysis. Rather than auditing only the borrower's historical balance sheet, lenders evaluate the quality of the commercial transaction, the trading history, and the creditworthiness of the corporate 'Anchor' buying the goods.

1.3 The Natural Exchange and Liquidity Bridge

By utilizing Book Debt Financing, an enterprise shifts the credit burden of its operating cycle from its own balance sheet to the liquid, high-rated balance sheet of its buyers. This structured process provides an ongoing, self-liquidating line of credit. As invoices are generated, they are immediately uploaded to the banking portal, verified, and discounted. On the due date, the buyers settle their dues directly into a bank-controlled Escrow Account, which automatically retires the outstanding principal. This structured approach eliminates the risk of cash flow diversion, protects the lender's capital, and supplies the borrower with a continuous source of non-dilutive operating cash flow.

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Module 2: Structural Taxonomy and Comparative Analysis

2.1 Understanding the Product Classifications

To navigate the trade finance landscape, trainees must master the structural distinctions between different receivable monetization products. Book Debt Financing is a broad umbrella term, but in practical banking operations, it splits into distinct modalities: Invoice Discounting, Bilateral Factoring, and unified exchange systems such as TReDS (Trade Receivables Discounting System). Additionally, it must be clearly contrasted with unsecured business loans to prove its economic and structural superiority.

2.2 The Comparative Taxonomy Matrix

The following matrix outlines the operational, risk, and legal distinctions between these commercial credit products:

Feature	Book Debt Financing	Bilateral Factoring	TReDS Platform	Unsecured Business Loan
Primary Initiator	Seller (Borrower)	Seller / Buyer	MSME Seller (or Buyer)	Borrower / Promoter
Notification to Buyer	Required / Optional (Escrow)	Mandatory (Notice of Assignment)	Implicit (Tripartite Onboarding)	None Required
Risk and Recourse	Typically with Recourse	Recourse or Non-Recourse	Strictly Non-Recourse to Seller	Full Personal Recourse
Underwriting Pivot	Debtor Book & Anchor Credit	Debtor Portfolio Strength	Anchor Bank/Funder Bid	Promoter CIBIL & DCHR
CERSAI / Charge Filing	Mandatory (Book Debts charge)	Mandatory (Factoring filing)	Implicit (Platform registers)	None (Unsecured status)
Indicative Cost	9.00% - 12.00% p.a.	10.00% - 13.50% p.a.	7.50% - 9.50% p.a.	15.00% - 24.00% p.a.

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Module 3: The End-to-End Operational Lifecycle

3.1 Phase 1: Commercial Order Execution and Delivery

The transaction cycle begins when the borrower secures a confirmed purchase order (PO) from a corporate buyer, manufactures the goods, and executes delivery. Upon delivery, the borrower issues a commercial tax invoice alongside a signed Proof of Delivery (PoD) or Lorry Receipt (LR). To comply with modern Indian regulatory standards, the invoice must be routed through the GSTN portal to generate an active IRN (Invoice Reference Number) and an electronic E-Way Bill, providing absolute authenticity of the trade transaction.

3.2 Phase 2: Credit Submission and Platform Matching

The borrower uploads the GST-compliant invoice, E-Way Bill, and signed PoD to the lender's digital portal. The system automatically fetches the metadata, verifying the buyer's GSTIN and crossing-referencing GSTR-1 filings. The buyer receives a secure notification via their ERP or portal and digitally accepts the invoice, validating that the goods were received in merchantable condition, creating an undisputed receivable asset.

3.3 Phase 3: Drawing Power (DP) Calculation and Disbursal

The lender applies the pre-agreed margin haircut (typically 20% to 30%) to the accepted invoice face value. This margin serves as a vital cushion against potential invoice dilution, commercial disputes, or returns. For example, on an invoice of ₹1,00,00,000, the bank establishes an active borrowing base (Drawing Power) of ₹80,00,000 (applying a 20% margin). This funding is disbursed directly to the borrower's active business operations account.

3.4 Phase 4: Debt Settlement and Escrow-backed Sweeps

At the end of the usance credit period (typically 60 to 90 days), the buyer settles the outstanding invoice amount. To secure the lender against leakage, the buyer must remit the full payment directly into a bank-controlled, tripartite Escrow Account. The bank's core banking system (CBS) automatically intercepts the incoming credit, sweeps the outstanding principal and accrued reducing-balance interest to retire the loan, and immediately credits the remaining 20% margin surplus back to the borrower's current account.

> *CRITICAL LESSON: Note the self-liquidating loop. The creation of the post-shipment receivable line automatically sweeps the collections. This eliminates the need for the seller to arrange independent cash flows to repay the debt.*

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Module 4: Transactional Credit Underwriting & Alternative Scoring

4.1 Risk Assessment in Modern Supply Chain Credit

Modern credit underwriting models have evolved past static annual balance sheet audits. Because Book Debt Financing relies on transaction velocity, the risk appraisal shifts from looking backward to evaluating live transaction pipelines. The credit department utilizes automated digital interfaces to extract current performance indicators, assessing the seller's business health in real-time.

4.2 Core Underwriting Metrics & Risk Flags

Lenders evaluate a mixture of promoter profiles, operational ratios, and alternative transaction indicators to establish limits. Trainees must understand these primary benchmarks:

• Promoter Personal Credit Score: A minimum CIBIL score of 700 is required to establish foundational promoter integrity.
• CIBIL MSME Rank (CMR): A score of CMR-1 to CMR-4 is mandatory to prove strong operational stability and low default probability.
• Financial Leverage & Coverage: The borrower's Current Ratio should benchmark at 1.25:1 to 1.33:1 under the Tandon Second Method of Lending, with an Interest Coverage Ratio (ICR) > 2.0x and Debt-to-Equity < 3:1.
• Account Aggregator Current Account Analytics: Analyzing cash flow statements directly via the secure Account Aggregator framework to verify daily cash inflows, check bounce history, and detect potential banking-limit stress in real-time.
• Live GSTN Validation: Real-time API integration with the GSTR-1, GSTR-2B, and GSTR-3B filings to verify transaction legitimacy, matching outward sales with buyer input tax credits to eliminate fake-invoicing and dual-financing risks.

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Module 5: Watertight Legal Security and Charge Creation

5.1 Section 130 of the Transfer of Property Act, 1882

Receivables and book debts are legally classified as 'actionable claims' under Indian law. Under Section 130 of the Transfer of Property Act, 1882, the transfer or assignment of an actionable claim is only legally effective when executed via a written instrument signed by the transferor (the seller) or their duly authorized agent. This legal assignment transfers all the rights, title, interest, and remedies of the seller directly to the bank. Consequently, the bank acquires the absolute legal right to demand and sue for the receivables from the buyer, fully bypassing the seller's creditors in the event of an insolvency or bankruptcy process.

5.2 Tripartite Power of Attorney and the Non-Dispute Covenant

To secure the repayment channel, the bank, borrower, and corporate buyer sign a tripartite agreement. Within this contract, the borrower executes an irrevocable Power of Attorney (PoA) authorizing the bank to collect receivables. Furthermore, the buyer signs a 'Non-Dispute Covenant'. This clause stipulates that once the buyer accepts the physical delivery and validates the invoice on the bank's portal, they unconditionally waive their legal rights to hold back payment or execute set-offs against the financier due to downstream quality disputes with the seller.

5.3 Mandatory CERSAI Charge Filings and the 10-Day Window

A major risk in trade credit is dual-financing, where a fraudulent borrower pledges the exact same invoice to multiple banks. To prevent this, the Factoring Regulation Act, 2011 (with the 2021 Amendments) mandates that all trade receivable charges, factoring assignments, and book debt hypothecations must be registered with CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India). The statutory registration window is capped at 10 days from the date of charge creation. Registering the charge establishes absolute legal seniority, warning any other lender that the debtor book has been legally assigned to the primary bank.

5.4 Tata Capital Master Terms and Conditions

Trainees must review industry standard terms, such as Tata Capital's Master Terms & Conditions (Applicable for Invoice Discounting). These legal terms stipulate strict Conditions Precedent, including tax clearance certificates under Section 281(1)(ii) of the Income Tax Act, 1961, and book debt hypothecations. They outline the legal rights of the bank to charge penal interest spreads and immediately freeze further drawdowns upon any breach of the financial covenants.

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Module 6: Sectoral Sizing and Market Alignment

6.1 Target Business Profiles and Industry Suitability

Book Debt Financing is ideally suited for fast-growing businesses that supply large corporate anchors on credit terms but have limited physical fixed assets to offer as security. Key target sectors include:

• Automotive Components and Allied Tier-1 Engineering: Suppliers that face high capital expenses to purchase steel, alloys, and precision tooling but must grant 90-day credit to major OEMs.
• Textiles and Ready-made Garment Manufactures: High raw-cotton working capital cycles matched to high seasonal retail demands.
• Consumer Electronics and Durables: Under the Electronic Vision 2030 PLI Framework, manufacturing is scaling aggressively, creating a massive demand for vendor-level trade lines to fund parts assembly and PCB printing.
• Chemicals and API Pharmaceuticals: Highly structured chemical supply chains that rely on transaction-backed trade finance to maintain raw materials pipelines.

6.2 Market Demographics and CIBIL MSME Pulse Data

According to recent CIBIL and SIDBI MSME Pulse Digital reports, MSMEs represent the primary driver of credit expansion in India. Interestingly, Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. This demographic relies heavily on Book Debt Financing, invoice discounting, and digital supply chain credit lines rather than term cap-ex loans to maintain operational agility.

6.3 Institutional Scale and Specialized Bank Portals

Public sector giants and major private players have built specialized digital ecosystems to capture this high-yielding market. The State Bank of India (SBI) leads the nation with its automated trade credit lines, operating the Electronic Dealer Financing Scheme (e-DFS) with active exposure exceeding ₹49,261 Crores and the Electronic Vendor Financing Scheme (e-VFS) representing over ₹28,092 Crores. Trainees should note that these digital platforms handle invoicing, GSTR-1 matching, and escrow sweeps fully automated on the bank's central servers.

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Module 7: Commercial Pricing Mechanics and Financial Models

7.1 The Daily Reducing Balance Interest Formula

A major advantage of Book Debt Financing is its highly efficient pricing mechanism. Interest is computed on a daily reducing balance basis, charged strictly on the disbursed principal amount and for the exact number of days the funds are utilized. This contrasts with traditional flat-rate structures. The formula used by commercial banks is:

Interest Cost = (Advanced Principal * Annual Interest Rate * Usance Days) / 365
For example, a drawdown of ₹50,00,000 at 9.50% p.a. for a 60-day usance cycle incurs an interest cost of:
Interest = (₹50,00,000 * 0.0950 * 60) / 365 = ₹78,082.19

7.2 Pricing Benchmarks, Processing Fees, and GST Rules

Banks price trade credit lines based on their External Benchmark Lending Rate (EBLR), which is linked directly to the RBI Repo Rate, or their Internal Marginal Cost of Funds Based Lending Rate (MCLR). Lenders also charge upfront processing fees, typically ranging from 0.10% to 0.50% of the limit or the individual drawdown.

Trainees must understand the specific GST tax treatment of trade finance components:
• Core Interest / Discounting Charges: Under Indian tax laws, the interest or discounting component charged on loans is completely exempt from GST.
• Processing Fees, Collateral Fees, and Service Charges: These upfront fees represent banking services and attract a standard 18% GST. This GST represents a fully recoverable Input Tax Credit (ITC) for GST-registered corporate borrowers, reducing their net tax burden.

7.3 The Interest Tax Shield under Section 36(1)(iii)

From a corporate finance perspective, Book Debt Financing is highly tax-efficient. Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for the purpose of business operations is fully deductible as a business expense. For a corporation taxed at a standard rate of 25.17% (inclusive of surcharge and cess), this interest tax shield reduces the effective net borrowing cost significantly. The formula is:

Effective Post-Tax Interest Rate = Nominal Interest Rate * (1 - Corporate Tax Rate)
If the nominal interest rate is 9.50% p.a., the post-tax cost is:
Effective Cost = 9.50% * (1 - 0.2517) = 7.11% p.a.

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Module 8: Regulatory Compliance & Technical Defaults

8.1 RBI IRACP Guidelines and Asset Classification

To maintain financial system stability, the Reserve Bank of India (RBI) enforces strict Income Recognition, Asset Classification, and Provisioning (IRACP) guidelines on all commercial banks and NBFCs. Working capital lines must be continuously monitored for defaults. Overdue accounts are classified as Special Mention Accounts (SMA) based on chronological default thresholds:

• SMA-0: Outstanding principal, interest, or any other amount overdue for 1 to 30 days.
• SMA-1: Overdue status persisting from 31 to 60 days.
• SMA-2: Overdue status persisting from 61 to 90 days.

Once a default surpasses 90 days, the asset is classified as a Non-Performing Asset (NPA).

8.2 The 'Out of Order' Trigger for Revolving Lines

Working capital accounts (such as Cash Credit or Book Debt limits) can be classified as NPA even without a continuous 90-day default if they trigger 'Out of Order' conditions. An account is classified as Out of Order if:

1. The outstanding balance remains continuously higher than the sanctioned limit or the calculated Drawing Power (DP) for 90 days; or
2. There are no credits in the account for 90 days, or the credits in the account are insufficient to fully cover the interest debited in the previous 90-day window.

8.3 Technical Defaults and the 180-Day Review Rule

A major risk for corporate treasurers is the 'Technical Default'. Under RBI circulars, if a working capital facility is not formally reviewed and renewed by the bank within 180 days from its scheduled expiry date, the account is automatically classified as a Non-Performing Asset (NPA). Furthermore, if the borrower fails to submit their monthly stock and debtors statements within 180 days of the due date, the account is classified as NPA. Exporters are also bound by FEMA regulations, which mandate that all export proceed collections must be realized and repatriated within 9 months.

8.4 RBI Current Account Guidelines and Escrow Mechanics

To prevent cash flow diversion, the RBI enforces strict rules on opening current accounts. For borrowers with banking system exposure exceeding ₹50 Crores, the bank must set up a dedicated escrow and collection sweep mechanism. No other bank is permitted to open a current account or collections escrow, guaranteeing that all trade receivables are captured directly within the lending bank's system.

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8.5 RBI Digital Lending and LSP Guidelines

Under the RBI's Digital Lending and Customer Protection Guidelines, any platform acting as a Lending Service Provider (LSP) for digital trade finance must comply with a 5% regulatory cap on Default Loss Guarantee (DLG) arrangements. Furthermore, all loan payouts and collections must be routed directly between the corporate accounts of the borrower and the lender, completely bypassing any LSP's intermediary accounts to prevent fraud.

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Module 9: Comprehensive Real-World Case Study

To provide trainees with an industry-grade understanding of Book Debt Financing mechanics, this module analyzes a real-world corporate trade scenario. We trace the financial operations of Vibrant Engineering Solutions Pvt. Ltd. (VESPL), a Pune-based tier-1 automotive components supplier selling precision gears to a major automotive OEM anchor, Tata Motors India Ltd.

Step 1: Sanctioned Limits and the Debtor Portfolio

Vibrant Engineering Solutions Pvt. Ltd. (VESPL) secures a sanctioned Book Debt Financing limit of ₹2,00,00,000 (₹2 Crores) from the State Bank of India (SBI). The bank applies a 30% safety margin haircut, establishing a maximum advance rate of 70% against eligible debtors. At the end of the month, VESPL submits its debtor stock statement, listing a gross outstanding debtor balance of ₹2,50,00,000 (₹2.5 Crores).

Step 2: Drawing Power (DP) Calculation and Exclusions

During the monthly credit audit, SBI's trade credit engine applies strict eligibility exclusions to calculate the active Drawing Power (DP) ceiling:

• Excluded Invoices: Any receivables outstanding beyond 90 days from the invoice date must be excluded from the eligible borrowing base. SBI identifies ₹30,00,000 in aging debtors past 90 days, excluding them completely.

• Unpaid Sundry Creditors (Sundry Creditors for Raw Materials): Under standard credit appraisal systems, any unpaid raw material stock represents dual-leveraging and must be deducted from the borrowing base. SBI identifies ₹20,00,000 in unpaid sundries, deducting them.

The mathematical calculation of the Eligible Debtor Base is:
Eligible Debtor Base = Gross Outstanding Debtors - Aging Exclusions - Unpaid Sundry Creditors
Eligible Debtor Base = ₹2,50,00,000 - ₹30,00,000 - ₹20,00,000 = ₹2,00,00,000

Applying the 30% margin haircut:
SBI Advance Base = Eligible Debtor Base * (1 - Margin Haircut)
SBI Advance Base = ₹2,00,00,000 * 0.70 = ₹1,40,00,000

Calculated Drawing Power (DP) Ceiling = ₹1,40,00,000 (RESTRICTED as it is lower than the sanctioned ₹2 Crore limit).

Step 3: Drawdown and Commercial Reducing Interest Economics

VESPL executes a drawdown of ₹1,00,00,000 (₹1 Crore) from their DP line to pay their raw alloy steel suppliers and secure a 2.0% cash discount. SBI charges a nominal interest rate of 9.00% p.a. computed on a daily reducing balance basis. The usance

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period is 90 days.

Interest Cost = (₹1,00,00,000 * 9.00% * 90) / 365 = ₹2,21,917.81

Upfront Bank Processing Fee & GST:
Processing Fee (0.20%): ₹20,000
GST on Processing Fee (18%): ₹3,600
Total Bank Upfront service costs = ₹23,600

VESPL's net upfront cash outflow is restricted to these fees, while the core ₹2,21,917.81 interest is charged dynamically over the 90-day cycle.

Step 4: Strategic Treasury Arbitrage & Cost Analysis

VESPL's CFO evaluates the financial efficiency of this structure compared to their standard INR Cash Credit (CC) line, which charges a nominal rate of 11.50% p.a. VESPL is taxed at a corporate rate of 25.17%:

1. Cash Credit Pathway (11.50% p.a.):
CC Interest Cost = (₹1,00,00,000 * 11.50% * 90) / 365 = ₹2,83,561.64
After-Tax Interest Cost = ₹2,83,561.64 * (1 - 0.2517) = ₹2,12,189.18

2. Book Debt Financing Pathway (9.00% p.a.):
Interest Cost = ₹2,21,917.81
After-Tax Interest Cost = ₹2,21,917.81 * (1 - 0.2517) = ₹1,66,061.01
Add Processing Fee (Post-GST Input Credit recovery): ₹20,000
Total Net After-Tax Outflow = ₹1,66,061.01 + ₹20,00,000 (if non-capitalized) * (1 - 0.2517) = ₹1,81,027.01

Net Strategic Treasury Savings = ₹2,12,189.18 - ₹1,81,027.01 = ₹31,162.17 in direct cash savings on a single transaction cycle!

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Module 10: 10-Question Certification Examination

This scenario-based certification examination is designed to test the trainee's understanding of Book Debt Financing structures, CERSAI filing rules, Section 130 legal assignments, RBI Current Account open guidelines, and reducing balance interest math.

Module 10.1: Question 1: Legal Receivable Assignment

Under Section 130 of the Transfer of Property Act, 1882, what is the mandatory requirement for the assignment of receivables to be legally effective?

A) It must be registered with the local Municipal Corporation.

B) It must be executed via a written instrument signed by the transferor (or their authorized agent).

C) It requires verbal consent from the buyers before a notary public.

D) It requires a minimum cash margin deposit of 50% with the RBI.

★ *Correct Option: B.*

Rationale: Section 130 mandates that any transfer or assignment of an actionable claim (receivable) is legally complete and effective only when executed via a written instrument signed by the transferor. This legal process transfers all rights, title, and remedies directly to the lender, establishing absolute legal seniority.

Module 10.2: Question 2: Statutory CERSAI Filing Window

Under the Factoring Regulation Act and the 2021 Amendments, what is the statutory window for registering a receivable assignment charge with CERSAI?

A) Within 30 days from the date of the loan disbursement.

B) Within 10 days from the date of charge creation.

C) Within 45 days from the date of the invoice generation.

D) CERSAI registration is entirely optional for domestic trade finance.

★ *Correct Option: B.*

Rationale: The Factoring Regulation Act enforces a strict 10-day statutory window for registering any factoring charge, assignment of receivables, or book debt hypothecation with CERSAI. This mandatory filing establishes absolute public seniority and completely eliminates dual-financing fraud risks.

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Module 10.3: Question 3: Cash Conversion Cycle Calculation
An enterprise reports Days Inventory Outstanding (DIO) of 50 days, Days Sales Outstanding (DSO) of 60 days, and Days Payable Outstanding (DPO) of 40 days. What is the Cash Conversion Cycle (CCC)?

A) 150 Days
B) 70 Days
C) 110 Days
D) 30 Days

★ *Correct Option: B.*
Rationale: The Cash Conversion Cycle (CCC) is computed as: CCC = DIO + DSO - DPO. Substituting the given values: CCC = 50 + 60 - 40 = 70 Days.

Module 10.4: Question 4: RBI IRACP 'Out of Order' Default
Under the RBI's IRACP guidelines, a revolving working capital account is classified as 'Out of Order' (and subsequently NPA) if the outstanding balance remains continuously higher than the sanctioned limit or Drawing Power (DP) for more than how many days?

A) 30 Days
B) 60 Days
C) 90 Days
D) 180 Days

★ *Correct Option: C.*
Rationale: An account is classified as Out of Order under RBI rules if the outstanding balance continuously exceeds the sanctioned limit or Drawing Power for 90 days, or if credits are insufficient to cover interest debited in the previous 90 days.

Module 10.5: Question 5: Tax Shield under Section 36(1)(iii)
A corporate borrower incurs ₹10,00,000 in nominal interest on a Book Debt line. If the company's corporate tax rate is 25.17%, what is the net after-tax cash outflow of this financing expense?

A) ₹10,00,000
B) ₹7,48,300
C) ₹2,51,700

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D) ₹5,00,000

★ *Correct Option: B.*
*Rationale: Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on borrowed business capital is fully deductible. The after-tax cost is calculated as: Interest * (1 - Tax Rate) = ₹10,00,000 * (1 - 0.2517) = ₹7,48,300.*

Module 10.6: Question 6: Drawing Power Exclusions (Creditors)
Why are unpaid Sundry Creditors for raw materials deducted from the gross debtor balance during monthly Drawing Power (DP) calculations?

A) To calculate the net wealth tax of the promoter.

B) To prevent dual-leveraging, as unpaid stock has already been financed by the suppliers.

C) To increase the bank's processing fees under GST rules.

D) To satisfy the corporate social responsibility (CSR) statutory spending limits.

★ *Correct Option: B.*
Rationale: Unpaid Sundry Creditors represent goods supplied on credit where the borrower has not yet paid the vendor. Including unpaid stock in the borrowing base represents dual-leveraging, so banks systematically deduct this value to establish a safe, paid-for asset base.

Module 10.7: Question 7: RBI Current Account Guidelines
Under RBI's current account opening guidelines, what is the restriction for a corporate borrower with a banking system exposure exceeding ₹50 Crores?

A) They are completely barred from using Escrow accounts.

B) The leading lender must establish a dedicated collection escrow, and no other bank can open current accounts.

C) They must route all transactions through a foreign offshore branch.

D) They are exempt from all CERSAI registration requirements.

★ *Correct Option: B.*
Rationale: To prevent cash flow siphoning, the RBI mandates that for borrowers with systemic exposure exceeding ₹50 Crores, the leading lender must set up a dedicated escrow and collection sweep current account. No other bank is permitted to open current accounts, ensuring complete transactional transparency.

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Module 10.8: Question 8: 180-Day Technical NPA Trigger
Under RBI guidelines, a working capital facility is automatically classified as a Non-Performing Asset (NPA) if it is not formally reviewed or renewed within how many days of its scheduled expiry?

A) 90 Days
B) 120 Days
C) 180 Days
D) 360 Days

★ *Correct Option: C.*
Rationale: If a working capital facility (such as a Book Debt line) is not formally reviewed and renewed within 180 days from its scheduled expiry date, the account is automatically classified as a technical NPA, even if the balances are fully within credit limits.

Module 10.9: Question 9: GST Treatment of Trade Credit
How is GST applied to the interest components and upfront bank processing fees of a Book Debt Financing line in India?

A) GST of 18% is applied to both interest and processing fees.
B) Interest is completely exempt from GST, while processing and service fees attract a standard 18% GST (fully recoverable as Input Tax Credit).
C) Core interest is taxed at 5% GST, and processing fees are completely GST-exempt.
D) Both interest and service fees are 100% exempt from GST under export incentives.

★ *Correct Option: B.*
Rationale: Under Indian tax rules, core interest or discounting charges are completely exempt from GST. However, bank processing and arrangement fees represent financial services and attract an 18% GST, which qualifies for corporate Input Tax Credit (ITC).

Module 10.10: Question 10: RBI Digital Lending LSP Cap
Under the RBI's Digital Lending Directions and Customer Protection guidelines,

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what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements with a Lending Service Provider (LSP)?

A) Capped at a maximum of 2.0% of the aggregate portfolio balance.

B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.

C) Capped at a maximum of 10.0% of the aggregate loan portfolio exposure.

D) DLG arrangements are completely prohibited for trade finance portfolios.

★ *Correct Option: B.*

Rationale: To prevent under-the-radar systemic credit risk transfers, the RBI strictly caps any First Loss Default Guarantee (FLDG) or Default Loss Guarantee (DLG) arrangements with LSPs at 5.0% of the aggregate loan portfolio exposure.

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